

HOUSE BILL 2407

By Scarbrough

AN ACT to amend Tennessee Code Annotated, Title 12,
Chapter 3, Part 12, relative to construction project
delivery methods.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 12, Chapter 3, Part 12, is amended by adding the following language as a new section:

(a) Notwithstanding another law to the contrary, a local government having revenues of at least twenty million dollars (\$20,000,000) in the most recent prior fiscal year may use any project delivery method that the local government determines most effectively meet the needs of the local government for the construction of qualified local projects; provided, that:

(1) The party retained to provide the project delivery method is selected by means of a competitive proposal process; and

(2) The local government's applicable ordinances, rules, regulations, or policies authorize such competitive proposal process.

(b) As used in this section:

(1) "Construction manager at-risk" means a project delivery method where the construction manager, acting as the local government entity's general contractor, is contracted to advise the designer and builder, and to deliver a project within a guaranteed maximum price;

(2) "Design-bid-build" means the traditional project delivery method, which customarily involves three (3) sequential project phases, being design,

procurement, and construction, and two (2) distinct contracts for the design and construction phases;

(3) "Design-build" means a construction project delivery method that combines architectural and engineering design services with construction performance under one (1) contract;

(4) "Local government" means a county, municipality, metropolitan government, town, utility district, utility authority, local education agency, or other local governmental entity;

(5) "Project delivery method" means any of the following construction contracting methods:

(A) Construction manager at-risk;

(B) Design-bid-build; or

(C) Design-build; and

(6) "Qualified local project" means any construction project, including the renovation of or expansion of an existing building, with an estimated cost to the local government in excess of five million dollars (\$5,000,000).

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.